TABLE 2.5

Indicators of External Openness: G5 and BRICS

	Trade Openness	Foreign Investment Openness	Nondiscrimination against Foreign Investors	Overall Capital Account Liberalization	Nonresident Holdings of Corporate Bonds/GDP (%)
G5					
Britain	0.88	0.90	1.00	0.80	55.8
France	0.83	0.70	0.70	0.95	63.4
Germany	0.88	0.60	0.60	0.82	52.3
Japan	0.83	0.70	0.91	0.90	7.0
United States	0.87	0.70	0.40	0.82	29.3
BRICS					
Brazil	0.69	0.55	0.00	0.40	11.1
China	0.73	0.30	0.00	0.09	0.7
India	0.71	0.35	0.10	0.02	1.7
Russia	0.72	0.25	0.50	0.70	2.0
South Africa	0.77	0.45	0.50	0.32	11.4

Note: 0 = fully closed; 1 = fully open.

Sources: Data columns 1–2: Heritage Foundation, *2016 Index of Economic Freedom*, at www.heritage.org, measures labeled "trade freedom" and "investment freedom," accessed June 2016, Data columns 3–4: Jahan and Wang (forthcoming), 2016. *New Index on Capital Account Liberalization.* Washington, DC: International Monetary Fund. Data column 5: World Bank. *Global Financial Development Report 2015/2016: Long-Term Finance.* Washington, DC: World Bank, Appendix B.

Table 2.5 reports one index of trade openness and four measures of external financial openness. On the Heritage Foundation's trade liberalization index, the G5 look somewhat more open than the BRICS, but the gap between the mean of the two groups is not large. In contrast, in the table's second data column, the Heritage Foundation ranks the G5 quite a bit higher than the BRICS on "investment openness." This is because this conservative think tank considers that both capital controls per se and any preferences given for national over foreign firms (in tax treatment or access to credit or government contracts, for example) undermine investment openness.

Table 2.5's third and fourth columns show indices of "nondiscrimination" and "overall capital account liberalization." These report on formal laws and rules, or the *de jure* constraints governing cross-border transactions.[132] By these measures, the G5 appear substantially more open to international capital flows than the BRICS, although Russia and South Africa have the most liberalized regulations among the five BRICS. The table's final column examines instead an important *outcome* dimension: the share of nonresidents among all owners of the corporate bonds of a country's firms. Here, the difference is stark. In China, India, and Russia, foreigners own less than 2 percent of corporate bonds. In the remaining two BRICS, Brazil and South Africa, however, foreign holdings rise to about 11 percent of all corporate bonds. Among the advanced economies, one sees an even larger bifurcation. Japanese corporate bond markets are either closed to foreigners or simply extremely unattractive: foreign holdings in 2013 were only 7 percent of the total. Foreign holdings in the other advanced economies are above half the total, except in the United States, where they reach only a third of the total, possibly reflecting the large size of the U.S. corporate bond market itself rather than disinterest from potential foreign investors or barriers to their participation.

Thus, by the early twenty-first century, each of the BRICS countries had reached a level of domestic development of the banking sector and capital markets sufficient to locate them, as a group, at approximately the lower end of the upper third of all countries worldwide. In terms of comparative financial openness, the BRICS